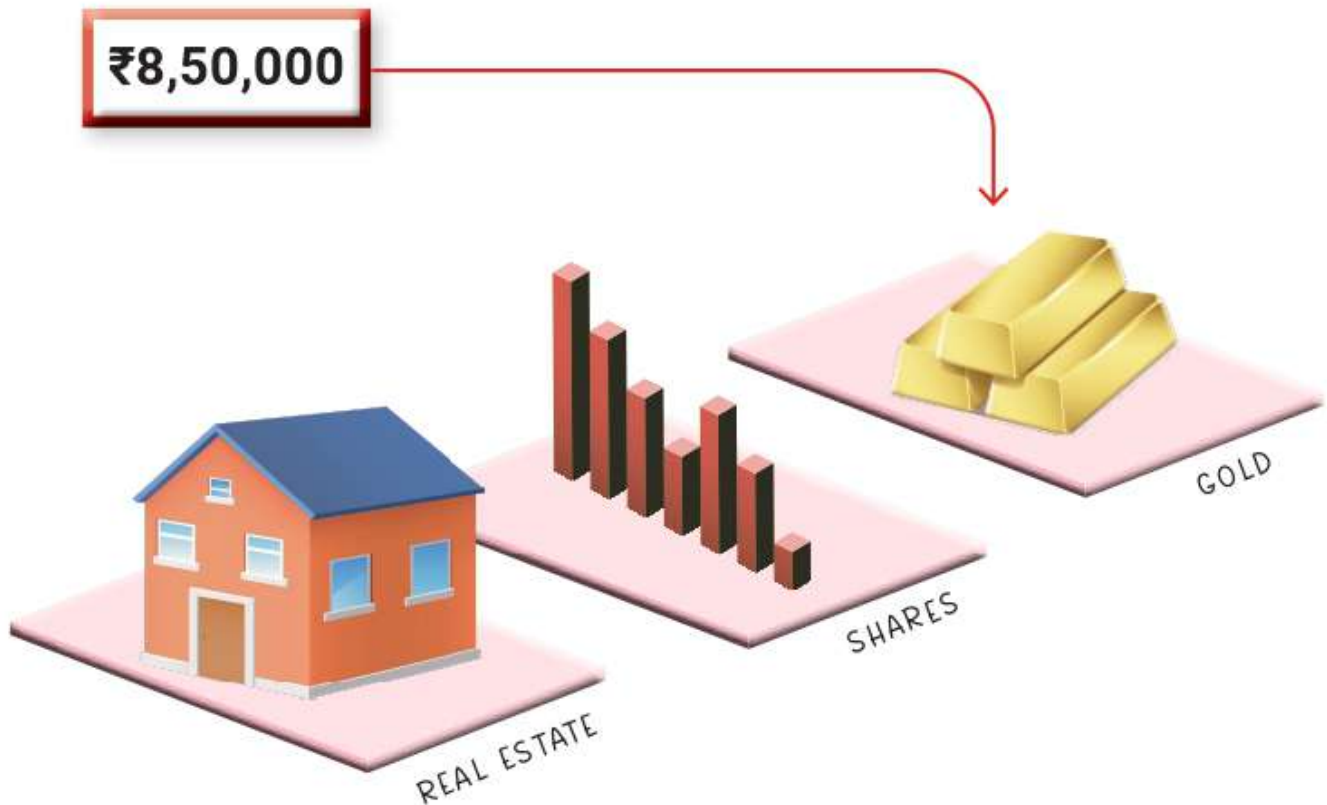


Lets say, you buy an asset worth ₹10,00,000 with 15% margin requirement. If you purchase from Spot market, entire amount will be consumed. But if you purchase from Futures market, 15% i.e. ₹1,50,000 will be consumed and ₹8,50,000 will still be idle with you.

AMOUNT CAN BE INVESTED
IN OTHER ASSETS



The difference ₹8,50,000, which, if invested elsewhere, would give an extra interest/return on investment. This extra earning with the leftover capital is the main reason behind the difference between TCS Spot Price and TCS Futures price. The difference ensures no one is penalized while buying at Spot or Futures prices.

